INTRODUCTION TO PART II

Unshackling Bonds

by Howard S. Marks

My first exposure to *Security Analysis* came in 1965. As a Wharton undergraduate, I was assigned readings from the masterwork of Benjamin Graham and David Dodd (by that time, joined by editor Sidney Cottle).

These were the early days, when a career in investment management mostly meant working for a bank, a trust company, or an insurance company. The first institutional investment boutique that I remember—Jennison Associates—was still a few years away from its founding. Common stock investors referenced the Dow Jones Industrial Average, not the Standard & Poor's 500 or the Russell 3000, and there was no ranking of investment managers' performance by percentile. In fact, it was just a few years earlier, at the University of Chicago's Center for Research in Security Prices, that stock prices since 1926 had been digitized manually, permitting calculation of the 9.2% historic return on equities.

The term "growth stock investing" was relatively new (and in its absence, there had been no need for the contrasting term "value investing"). Hedge funds had yet to become a topic of popular discourse, and I'm not sure the term even existed. No one had ever heard of a venture capital fund, a private equity fund, an index fund, a quant fund, or an emerging markets fund. Even "famous investor" was largely an oxymoron—Warren Buffett hadn't yet become a celebrity,